

Azure Data Engineering Project Flow

End-to-End Implementation with Medallion Architecture & Azure Data Factory

1. Azure Data Engineering Foundation & Architecture

1.1 Azure Data Engineering Overview

Azure Data Engineering is a cloud-based approach to designing, building, and maintaining data infrastructure on Microsoft Azure. It encompasses the entire data lifecycle from ingestion through processing to analytics and visualization. Azure provides a comprehensive suite of tools and services that enable organizations to build scalable, secure, and cost-effective data solutions.

Key Azure data engineering services include:

- Azure Data Lake Storage (ADLS Gen2) - Scalable data lake infrastructure
- Azure Data Factory (ADF) - Serverless data orchestration and ETL
- Azure Synapse Analytics - Integrated analytics platform
- Azure Databricks - Apache Spark-based big data processing
- Azure Stream Analytics - Real-time data processing
- Azure Event Hubs - Distributed event streaming platform

1.2 Medallion Architecture - Bronze, Silver, Gold Layers

The Medallion Architecture is a best-practice data organization pattern that structures data in three distinct layers within Azure Data Lake Storage, each serving a specific purpose in the data pipeline.

1.2.1 Bronze Layer (Raw Data)

The Bronze layer serves as the initial landing zone for all raw, unprocessed data ingested from source systems. This layer maintains data fidelity and historical records.

- Purpose: Store raw data exactly as received from source systems
- Data Format: Parquet, CSV, JSON, or native format from source
- Processing: Minimal to no transformation; focus on landing data efficiently
- Retention: Usually maintains full historical data
- Examples: Raw sales transactions, API responses, log files, database exports
- Azure Service: Azure Data Lake Storage (ADLS Gen2)

Bronze layer best practices in Azure:

- Use ADLS Gen2 hierarchical namespace for optimal performance
- Implement folder structure:
/bronze/{source_system}/{data_domain}/{table_name}/YYYY/MM/DD/
- Use Parquet format for efficient storage and query performance
- Implement time-based partitioning for easy data retention management
- Set appropriate access controls using Azure AD and RBAC

1.2.2 Silver Layer (Cleaned & Standardized Data)

The Silver layer contains cleaned, validated, and standardized data. Data is transformed to meet quality standards and conforms to organizational data models and naming conventions.

- Purpose: Provide a single source of truth for cleaned data
- Data Quality: Deduplicated, validated, null values handled
- Transformations: Data type conversions, standardization, enrichment
- Performance: Optimized for analytics and business logic
- Schema: Defined schemas using Delta format
- Azure Service: Azure Synapse Analytics, Databricks, or Azure Data Factory

Silver layer transformation activities:

- Remove duplicates using hash functions on key columns
- Validate data quality against predefined rules (null checks, range checks)
- Standardize formats (dates, phone numbers, addresses)
- Implement surrogate keys for dimensions
- Join related entities and denormalize for analytics
- Implement SCD Type 1 and Type 2 for slowly changing dimensions

1.2.3 Gold Layer (Business-Ready Analytics)

The Gold layer contains optimized, aggregated data ready for direct consumption by analytics, reporting, and machine learning applications. Data is organized in a business-friendly dimensional model.

- Purpose: Provide business metrics and analytics-ready datasets
- Format: Star schema with fact and dimension tables
- Optimization: Pre-aggregated, indexed, and denormalized for query performance
- Consumers: Power BI, Tableau, machine learning models, business applications
- Latency: Typically updated on schedule (hourly, daily)
- Azure Service: Azure Synapse Analytics SQL Pools or Azure SQL Database

Gold layer data structures:

- Fact tables containing metrics, dimensions, and measure values
- Dimension tables with business context and attributes
- Aggregate tables for common business queries
- Time-based snapshots for temporal analysis

2. Azure Data Lake Storage (ADLS Gen2) Setup & Configuration

2.1 ADLS Gen2 Foundation

Azure Data Lake Storage Gen2 is a set of capabilities dedicated to big data analytics, built on Azure Blob Storage. It provides hierarchical namespace, security features, and Azure ecosystem integration.

2.1.1 Creating and Configuring Storage Accounts

- Create Azure Storage Account with ADLS Gen2 capabilities enabled
- Enable Hierarchical Namespace (required for ADLS Gen2)
- Configure performance tier: Standard or Premium
- Set replication strategy: LRS (Local Redundancy), GRS (Geo-Redundancy)
- Enable soft delete for data recovery capability

- Configure blob access tier: Hot, Cool, or Archive

2.1.2 Container and Folder Structure Design

- Create containers for each environment: dev, staging, production
- Implement medallion layer structure: /bronze, /silver, /gold
- Use data domain organization: /bronze/sales, /bronze/marketing
- Implement date-based partitioning: /YYYY/MM/DD/HH/
- Maintain consistent naming conventions across all layers

2.1.3 Access Control and Security

- Configure managed identities for Azure services
- Implement Azure AD integration for user access
- Use RBAC roles: Storage Blob Data Owner, Reader, Contributor
- Enable Azure Private Endpoints for secure network access
- Configure Network Security Groups (NSG) rules
- Implement encryption at rest using customer-managed keys (optional)
- Enable encryption in transit using TLS 1.2 or higher

2.2 ADLS Gen2 Performance Optimization

2.2.1 Partitioning Strategy

- Implement date-based partitioning for time-series data
- Use hash-based partitioning for even data distribution
- Partition by business entities (customer_id, product_id)
- Aim for 128 MB to 256 MB file sizes for optimal performance

2.2.2 File Format Selection

- Parquet: Optimal for analytics with columnar storage, compression
- Delta format: Built-in ACID transactions, schema enforcement
- CSV: Simple but requires more storage space and slower queries
- JSON: Semi-structured data, preserves schema flexibility

2.2.3 Data Lifecycle Management

- Implement tiered storage: Hot (0-30 days), Cool (30-90 days), Archive (90+ days)
- Use lifecycle management policies to automatically move data between tiers
- Delete data according to retention policies and compliance requirements
- Implement backup and disaster recovery strategies

3. Azure Data Factory (ADF) - Data Orchestration & ETL

3.1 Azure Data Factory Architecture

Azure Data Factory is a fully managed, serverless data integration service that enables you to create complex ETL and data orchestration workflows. ADF provides a visual interface and code-based options for building data pipelines.

3.1.1 ADF Core Concepts

- Pipelines: Container for activities that perform data operations

- Activities: Individual tasks like Copy Data, Data Flow, Spark Job
- Datasets: Named references to data structures in linked services
- Linked Services: Connection information to external data stores
- Integration Runtime: Compute infrastructure for executing activities
- Triggers: Scheduling mechanisms for pipeline execution

3.1.2 Integration Runtime Configuration

Integration Runtimes are the compute infrastructure used by ADF to execute activities and transformations.

- Azure Integration Runtime: For cloud-to-cloud scenarios, auto-resolving
- Self-Hosted Integration Runtime: For on-premises data sources and networks
- Azure SSIS Integration Runtime: For legacy SSIS package execution
- Managed Virtual Network: Private connectivity with private endpoints

3.2 ADF Pipeline Design for Medallion Architecture

3.2.1 Bronze Layer Ingestion Pipeline

The Bronze ingestion pipeline in ADF handles the initial data landing without transformation. It copies data from source systems to the Bronze layer maintaining data fidelity.

- Source: Database (Azure SQL, On-premises SQL Server), APIs, File shares
- Activity: Copy Data activity with source and sink datasets
- Sink Configuration: ADLS Gen2 Bronze containers with date-based paths
- Error Handling: Implement retry logic and error notification
- Validation: Row count and checksum validation post-copy
- Scheduling: Triggered by schedule or event-based mechanism

3.2.2 Silver Layer Transformation Pipeline

Silver layer pipelines in ADF perform data cleansing, validation, and standardization. These pipelines can use Data Flows, Databricks, Spark pools, or SQL scripts.

- Data Flow Activity: Visual transformation interface for large-scale data
- Databricks Activity: Execute Spark notebooks for complex transformations
- SQL Script Activity: Run SQL stored procedures in Synapse pools
- Transformations: Deduplication, null handling, type conversion, enrichment
- Output: Silver layer Parquet or Delta files
- Validation: Data quality checks, schema validation

3.2.3 Gold Layer Aggregation Pipeline

Gold layer pipelines create business-ready datasets with pre-aggregated metrics and dimensional models. These typically load into dedicated Synapse SQL pools.

- Source: Silver layer cleaned data
- Transformations: Aggregations, calculations, dimensional joins
- Activity: Polybase loading or Bulk Insert for efficient loading
- Performance: Implement incremental loads using watermark patterns
- Sink: Dedicated SQL pools or Azure SQL Database

3.3 ADF Data Flow for ETL Transformations

3.3.1 Mapping Data Flows

- Visual transformation interface without code writing
- Source transformation: Load data from Bronze layer
- Filter transformation: Remove unwanted rows
- Select transformation: Choose and rename columns
- Aggregate transformation: Group by and calculate metrics
- Join transformation: Combine multiple data sources
- Pivot/Unpivot transformations: Reshape data structure
- Sink transformation: Write to Silver or Gold layers

3.3.2 Data Flow Performance Optimization

- Use staging transformation for intermediate aggregations
- Implement column projection to reduce data volume
- Use filter transformation early to reduce downstream processing
- Optimize cluster size for large transformations
- Monitor execution time and adjust cluster configuration

3.4 ADF Triggering and Scheduling

3.4.1 Schedule-Based Triggers

- Tumbling Window Trigger: Fixed interval execution (hourly, daily)
- Scheduling: Define start time, end time, frequency, and interval
- Backfill: Execute for historical periods automatically
- Examples: Daily full load at 2 AM, hourly incremental loads

3.4.2 Event-Based Triggers

- Event Grid Trigger: Respond to storage account events (file creation)
- Custom Event Triggers: Trigger on application events
- Chained Pipelines: Execute one pipeline upon another's completion
- Dependencies: Set up pipeline dependencies for sequencing

3.5 ADF Monitoring and Error Handling

3.5.1 Pipeline Monitoring

- Monitor panel in ADF UI shows real-time execution status
- Track activity-level details: duration, rows processed, errors
- Enable detailed logging to Azure Monitor and Log Analytics
- Set up alerts for pipeline failures or long execution times

3.5.2 Error Handling and Recovery

- Configure retry policies: Attempt, BackoffInterval, MaxRetries
- Implement error notification via Logic Apps or Functions
- On Failure hooks: Execute cleanup or notification activities
- Implement idempotent transformations for safe retries
- Use checkpoints in long-running pipelines

4. Data Ingestion - Source to Bronze Layer

4.1 Batch Data Ingestion with ADF

4.1.1 Database Source Ingestion

Ingesting data from relational databases is a common scenario in data engineering. ADF provides native connectors for various database platforms.

- Azure SQL Database: Use SQL Database linked service with connection string
- SQL Server: On-premises via Self-Hosted Integration Runtime
- PostgreSQL/MySQL: Native connectors available
- Oracle: Full JDBC-based connector support
- Copy activity configuration with pagination for large tables

4.1.2 File-Based Source Ingestion

- SFTP servers: Secure file transfer protocol sources
- Azure Blob Storage: Intra-Azure data movement
- Azure SharePoint/OneDrive: Office 365 data integration
- FTP/HTTP servers: HTTP-based file download
- Implement wildcard patterns for file discovery

4.1.3 API-Based Data Ingestion

Many modern applications expose data through REST or GraphQL APIs. ADF provides multiple mechanisms for API-based data ingestion.

- Web Linked Service: Generic HTTP endpoint support
- OAuth 2.0 authentication for secured APIs
- Azure Functions: Custom activities for complex API logic
- Pagination handling for large result sets
- Rate limiting management and retry logic

4.2 Real-Time Data Ingestion Patterns

4.2.1 Azure Event Hubs Integration

Event Hubs provide a highly scalable, distributed event streaming platform. Integrate with ADF for streaming scenarios.

- Consumer Groups: Multiple independent consumers from same stream
- Partitions: Distribute data for parallelism (typically 4-8 partitions)
- Stream Analytics: Real-time processing of incoming events
- Databricks Streaming: Structured Spark Streaming on event data
- ADLS integration: Stream events directly to Bronze layer

4.2.2 Azure IoT Hub Integration

- Device-to-cloud telemetry: Ingest IoT device data
- Built-in endpoint: Compatible with Event Hubs consumer API
- Device provisioning: Azure IoT Hub Device Provisioning Service
- Message enrichment: Add context before landing in Bronze layer

4.2.3 Change Data Capture (CDC)

CDC enables capturing only changed data since the last ingestion, improving efficiency for incremental loads.

- SQL Server CDC: Native change tracking in SQL Server
- Transactional Replication: Microsoft SQL Server built-in feature
- Logical Decoding: PostgreSQL change capture mechanism
- ADF Change Data Capture: Copy activity native CDC support
- Advantage: Reduced network traffic, faster incremental loads

4.3 Data Quality Checks at Ingestion

4.3.1 Schema Validation

Validate that incoming data matches expected schema before landing in Bronze layer.

- Column count validation
- Data type compatibility checks
- Required field presence validation
- Use Mapping Data Flow validation transformation

4.3.2 Completeness Checks

- Row count comparison: Source vs. ingested
- Null value detection in critical columns
- Date range validation for time-series data
- Implement lookup activities for referential integrity

4.3.3 Freshness Monitoring

- Track last modified timestamps from sources
- Alert on stale data (no updates for expected interval)
- Implement data arrival SLA monitoring
- Provide dashboard visibility into ingestion freshness

5. Silver Layer - Data Cleaning & Standardization

5.1 Data Quality Transformation Framework

5.1.1 Deduplication Logic

Remove duplicate records that may exist in source systems or result from multiple ingestion attempts.

- Row-level deduplication: Hash-based approach on all columns
- Key-based deduplication: Hash on business key columns
- SCD handling: Determine which duplicate is current version
- Implementation: Window functions with ROW_NUMBER() in SQL
- Alternative: Data Flow Group By transformation

5.1.2 Null Value Handling

- Identify null values in data quality profiling
- Determine treatment strategy: Remove, fill, or flag
- Domain knowledge: Use defaults or look-up tables

- Create quality flags for rows with imputed values
- Implement null handling transformations in Data Flow

5.1.3 Data Type Standardization

- Convert string dates to standard DATE or TIMESTAMP format
- Normalize phone numbers, postal codes, addresses
- Handle encoding issues in text fields
- Convert currency values to consistent decimal precision
- Implement type casting with error handling

5.2 Data Enrichment in Silver Layer

5.2.1 Dimension Enrichment

Add business context by joining with dimension tables.

- Customer dimension: Add customer details, segment, status
- Product dimension: Add product category, attributes
- Date dimension: Add fiscal periods, holiday flags
- Lookup table joins for standardized values

5.2.2 Calculated Fields

- Business metrics: Revenue, quantity, profit calculations
- Derived attributes: Age groups, tenure categories
- Temporal calculations: Days since last purchase, quarters
- Aggregated values: Customer lifetime value, purchase frequency

5.2.3 Flag and Quality Indicators

- Data quality flags: Complete, partially complete, incomplete
- Anomaly flags: Outliers detected based on statistical rules
- Freshness flags: Recently updated vs. stale data
- Record lineage: Source system, load timestamp, version

5.3 Slowly Changing Dimensions (SCD) Implementation

5.3.1 SCD Type 1 - Overwrite

Overwrite existing attributes with new values. No historical tracking.

- Use case: Status changes, location updates
- Implementation: Direct update or delete-insert
- Performance: Fastest, requires minimal storage

5.3.2 SCD Type 2 - Add New Row

Maintain full history by creating new rows for changes with effective dates.

- Use case: Price changes, organizational changes
- Columns: effective_date, end_date, is_current flags
- Implementation: Surrogate keys for dimension relationships
- Query challenge: Always filter for is_current = true

5.3.3 SCD Type 3 - Add Column

Keep limited history by adding columns for previous values.

- Use case: Status changes with prior value comparison
- Columns: current_value, previous_value
- Storage efficient but limited history depth

6. Gold Layer - Analytics-Ready Data Models

6.1 Dimensional Modeling for Analytics

6.1.1 Star Schema Design

Star schema organizes data in a denormalized structure with a central fact table surrounded by dimension tables.

- Fact Table: Quantitative measures, foreign keys to dimensions
- Dimension Tables: Descriptive attributes, slowly changing dimensions
- Advantages: Simple queries, excellent query performance
- Disadvantages: Data redundancy, more complex ETL

6.1.2 Snowflake Schema

- Normalized dimension tables to 3NF
- Reduced dimension table storage
- More complex joins required for queries
- Use when dimension tables are extremely large

6.1.3 Fact Table Design

- Granularity definition: Transaction vs. daily summary facts
- Measure selection: Additive, semi-additive, non-additive
- Foreign key relationships: Links to dimensions
- Degenerate dimensions: Low-cardinality attributes in fact table
- Factless fact tables: Many-to-many relationships

6.2 Aggregate and Summary Tables

6.2.1 Pre-Aggregated Metrics

Pre-compute common aggregations to improve dashboard and report performance.

- Daily/monthly/quarterly summaries
- Customer-level aggregates: Total spending, purchase count
- Product-level aggregates: Units sold, revenue by category
- Time-series snapshots: Maintain historical snapshots

6.2.2 Incremental Load Patterns

- Watermark-based: Load data modified since last run
- Delta computation: Calculate only changes from previous period
- Upsert patterns: Update existing records or insert new
- Materialized view refresh: Incrementally update views

6.3 Azure Synapse Analytics for Gold Layer

6.3.1 Dedicated SQL Pools

- Purpose-built data warehouse for BI workloads
- Distribution strategies: Round-robin, hash, replicated
- Table design: Heap vs. Clustered Column Store Index (CCI)
- Scaling: Pausable compute resources, on-demand scaling
- Typical use: BI tools directly querying fact/dimension tables

6.3.2 Serverless SQL Pools

- Query ADLS data directly without loading into warehouse
- Parquet, CSV, JSON, Delta format support
- Ad-hoc analytics and data exploration
- Cost per query - no reserved capacity needed

6.3.3 Loading Patterns in Synapse

- PolyBase: Load from ADLS Gen2 using T-SQL
- Copy command: Simplified syntax for ADLS loading
- Data Factory pipeline integration: Orchestrated loading
- Temp tables: Staging area before final insert

7. Advanced Processing - Databricks & Spark

7.1 Azure Databricks Integration with ADF

7.1.1 Databricks Workspace Setup

Azure Databricks is a unified analytics platform with Apache Spark at its core, integrated with Azure services.

- Create Databricks workspace within Azure subscription
- Configure cluster policies for cost management
- Set up secret scope for secure credential management
- Configure Unity Catalog for data governance
- Integrate with Azure AD for authentication

7.1.2 ADF and Databricks Integration

- Databricks Notebook activity: Execute Python or SQL notebooks
- Databricks Spark Job activity: Run JAR files or Python scripts
- Parameter passing: Inject pipeline variables into notebooks
- Error handling: Capture notebook failures and implement retries

7.2 PySpark Transformations for Silver Layer

7.2.1 DataFrame Operations

- Read from ADLS Gen2: `spark.read.parquet()` or `spark.read.csv()`
- Transformation chains: Filter, select, groupBy, join operations
- Window functions: Row number, rank, lag/lead operations
- UDF (User Defined Functions): Custom business logic

7.2.2 Data Quality Functions

- `removeNull()`: Drop rows with null values in key columns
- `dropDuplicates()`: Remove duplicate rows based on columns
- `fillna()`: Fill null values with defaults or computed values
- `withColumn()`: Add new columns with derived values
- Cast operations: Convert data types safely

7.2.3 Performance Optimization

- Partitioning: Divide data for parallel processing
- Bucketing: Organize data for join optimization
- Caching: Cache frequently accessed dataframes
- Broadcast joins: For small dimension tables
- Shuffle optimization: Minimize data movement across partitions

7.3 Structured Streaming for Real-Time Processing

7.3.1 Streaming Data Ingestion

Process continuous data streams from Event Hubs or Kafka in real-time.

- `readStream` source: Configure Event Hubs or Kafka connection
- Windowed operations: Aggregate over time windows
- Watermarking: Handle late-arriving data gracefully
- Output modes: Append, update, or complete

7.3.2 Stream Processing with Databricks

- Micro-batch processing: Process data in small batches
- Continuous mode: Row-by-row processing (experimental)
- Exactly-once semantics: Ensure no data loss or duplication
- Join streams: Combine multiple streaming sources

8. Analytics & Business Intelligence Layer

8.1 Power BI Integration with Azure Data Engineering

8.1.1 Power BI Semantic Models

Power BI semantic models (formerly called datasets) define the structure for analytics. They connect to Gold layer data and establish relationships.

- Fact tables: Import measures from Gold layer fact tables
- Dimension tables: Import attributes from dimension tables
- Relationships: Define cardinality and join properties
- Hierarchies: Create drill-down navigation paths
- DAX measures: Calculated metrics and KPIs

8.1.2 Direct Query vs. Import

- Import mode: Copy data into Power BI for fast refresh, limited size
- DirectQuery mode: Query Synapse pools directly, always current
- Aggregation tables: Combine approaches for performance

- Hybrid approach: Import small dimensions, DirectQuery fact tables

8.1.3 Power BI Dataflows

- Self-service ETL: Business users create transformations
- Reusable dataflows: Share across multiple Power BI reports
- Dataflow storage: ADLS integration for shared storage
- Linked entities: Build on other dataflows

8.2 Dashboard and Report Development

8.2.1 Semantic Model Best Practices

- Hide unnecessary columns and measures from end users
- Implement Row-Level Security (RLS) for data governance
- Create role-based filtering for sensitive data
- Optimize model performance: Reduce cardinality, use summarize

8.2.2 Report Design Patterns

- Executive summary: One-page overview of key metrics
- Detailed analytics: Multi-page drill-down reports
- Operational dashboards: Real-time KPI monitoring
- Ad-hoc analysis: Unpinned pages for exploration
- Mobile layout: Optimized for mobile device consumption

8.2.3 Refresh Scheduling

- Full refresh: Reload all data (typically daily)
- Incremental refresh: Update only changed data (hourly/more frequently)
- Push datasets: Real-time updates for streaming scenarios
- Dataflow refresh scheduling in app service

9. Monitoring, Logging & Data Governance

9.1 Azure Monitor Integration

9.1.1 ADF Pipeline Monitoring

Comprehensive monitoring of ADF pipelines ensures visibility into data engineering operations.

- Pipeline runs: Track start time, duration, status
- Activity performance: Individual task execution details
- Data profiling: Row counts, column statistics
- Error tracking: Failed activities with error messages
- Integration Runtime monitoring: Compute resource utilization

9.1.2 Log Analytics Integration

- Send diagnostic logs to Log Analytics workspace
- Create KQL (Kusto Query Language) queries for analysis
- Build dashboards for operational insights
- Set up alerts based on log analysis
- Long-term log retention for compliance

9.1.3 Application Insights

- Track Data Flow execution metrics
- Monitor stored procedure execution in Synapse
- Capture custom metrics from Azure Functions
- Distributed tracing across services

9.2 Data Quality Monitoring & Observability

9.2.1 Data Quality Rules

Define and monitor business rules to ensure ongoing data quality.

- Row count validation: Compare source to target record counts
- Null percentage thresholds: Alert if nulls exceed tolerance
- Value distribution: Monitor for unexpected patterns
- Referential integrity: Check foreign key relationships
- Business rule validation: Domain-specific data checks

9.2.2 Data Quality Dashboard

- Track quality score over time
- Visualize failed rule execution
- Show data freshness metrics
- Display pipeline execution timelines
- Anomaly detection highlighting

9.3 Azure Purview for Data Governance

9.3.1 Data Catalog

Azure Purview provides enterprise data governance with discovery, classification, and lineage.

- Automated scanning: Discover data assets across Azure
- Classification: Apply system and custom classification labels
- Glossary: Define business terms and terminology
- Sensitivity labels: PII, confidential, public classifications

9.3.2 Lineage and Impact Analysis

- Track data flow from source to destination
- Understand dependencies between datasets
- Impact analysis: Determine downstream effects of changes
- Audit trails: Track who accesses which data

9.3.3 Data Policy Enforcement

- Set access policies on sensitive data assets
- Role-based access control (RBAC) integration
- Data use agreements: Document approved use cases
- Compliance mapping: Align with regulations (GDPR, HIPAA)

10. Security & Compliance Implementation

10.1 Network Security

10.1.1 Azure Virtual Network Integration

Secure Azure data engineering components through network isolation.

- Virtual Networks (VNETs): Isolate Azure services from internet
- Subnets: Segment network by function and security zone
- Network Security Groups (NSGs): Firewall rules for traffic control
- Private Endpoints: Private connectivity to Azure services
- Service Endpoints: Restrict data access to specific VNETs

10.1.2 Managed Virtual Networks (ADF/Databricks)

- Create isolated network environment for ADF
- Automatically manage private endpoints for linked services
- Eliminate outbound connectivity to internet
- Improve security posture for regulated environments

10.2 Identity and Access Management

10.2.1 Managed Identities

Use system-managed or user-managed identities for secure service authentication.

- System-managed identity: Azure automatically manages credentials
- User-managed identity: Long-lived credential for multiple services
- No password management required
- Automatic token refresh

10.2.2 Azure AD Integration

- Authenticate to Azure services using Azure AD credentials
- Conditional access policies: Require MFA or device compliance
- Privileged Identity Management (PIM): Just-in-time access
- Service principals: Application identity for automation

10.2.3 Role-Based Access Control (RBAC)

- Storage Blob Data Owner: Full permissions on containers
- Storage Blob Data Contributor: Read and write access
- Storage Blob Data Reader: Read-only access
- Custom roles: Define specific permission combinations

10.3 Data Encryption

10.3.1 Encryption at Rest

- Azure Storage: Automatic encryption with Microsoft-managed keys
- Customer-managed keys: Use Azure Key Vault for key control
- Transparent Data Encryption (TDE): Database encryption
- Always Encrypted: Column-level encryption for sensitive data

10.3.2 Encryption in Transit

- TLS 1.2+: All data movement encrypted
- HTTPS: Web service communications
- SSL/TLS certificates: Secure data transfers
- VPN/ExpressRoute: Encrypted on-premises to Azure connectivity

10.4 Compliance and Audit

10.4.1 Audit Logging

- Azure Storage logging: Track access to data lake files
- ADF audit events: Pipeline execution and modifications
- SQL audit: Database access and modifications
- Azure AD sign-in logs: User authentication events

10.4.2 Compliance Frameworks

- GDPR: Right to be forgotten, data portability
- HIPAA: Healthcare data protection requirements
- PCI-DSS: Payment card industry data security
- SOC 2: Security and availability controls

11. Testing & Validation Framework

11.1 Data Quality Validation

11.1.1 Schema Validation

Validate that data structure matches expectations at each layer.

- Column existence: Verify all expected columns present
- Data types: Confirm columns have correct types
- Nullable constraints: Check if nulls allowed
- Length validation: String columns meet length requirements

11.1.2 Business Rule Validation

- Referential integrity: Foreign key relationships valid
- Value range checks: Data within acceptable ranges
- Uniqueness: Key columns contain no duplicates
- Cardinality: Expected number of distinct values
- Temporal logic: Dates in correct sequences

11.1.3 Statistical Validation

- Null percentage: Monitor percentage of null values
- Outlier detection: Identify statistical anomalies
- Distribution analysis: Check for unexpected patterns
- Trend analysis: Identify sudden changes in metrics

11.2 ETL Testing Patterns

11.2.1 Unit Testing

- Test individual transformations in isolation
- Data Flow expression testing: Test custom expressions
- PySpark notebook testing: Unit test Spark logic
- SQL stored procedure testing: Test T-SQL functions

11.2.2 Integration Testing

Test complete data flows from source to target.

- End-to-end pipeline testing: Full medallion flow
- Data reconciliation: Source vs. target counts
- Transformation accuracy: Verify calculations correct
- Performance testing: Measure execution time

11.2.3 Regression Testing

- Test after changes to ensure no breaking issues
- Historical data validation: Reprocess previous periods
- Snapshot comparison: Compare current with expected output
- Automated test suites: CI/CD pipeline integration

11.3 User Acceptance Testing (UAT)

11.3.1 UAT Planning

- Identify business stakeholders and subject matter experts
- Define test cases based on business requirements
- Create test data sets representing real scenarios
- Document expected outcomes and acceptance criteria

11.3.2 UAT Execution

- Provide isolated test environment (non-production)
- Train users on data access and tools
- Execute test cases and document results
- Address discrepancies between expected and actual

12. Deployment & CI/CD Pipeline

12.1 Infrastructure as Code (IaC)

12.1.1 Azure Resource Manager (ARM) Templates

Define Azure infrastructure in JSON templates for reproducible deployments.

- Storage accounts: ADLS Gen2 configuration
- Data Factory: Pipeline, linked services, datasets
- Synapse workspaces: SQL pools and compute resources
- Networking: VNets, private endpoints, firewalls

12.1.2 Terraform Configuration

- Declare infrastructure in HCL (HashiCorp Configuration Language)
- Infrastructure versioning in Git repositories
- State management: Track infrastructure state
- Modularity: Reusable infrastructure components

12.1.3 Environment Parity

- Dev environment: Fast feedback, frequent changes
- Staging environment: Production-like testing
- Production environment: Live data, security lockdown
- Parameterization: Environment-specific variables

12.2 CI/CD Pipeline with Azure DevOps

12.2.1 Version Control

Maintain complete version history of data engineering artifacts.

- Git repositories: ADF pipelines, Databricks notebooks, SQL scripts
- Branching strategy: Feature branches, main branch protection
- Pull requests: Code review before merging
- Commit history: Audit trail of changes

12.2.2 Build Pipeline

- Validate ARM templates: Syntax and structure validation
- Run unit tests: Test transformations locally
- Code quality: Static analysis and linting
- Security scanning: Detect hardcoded secrets or vulnerabilities

12.2.3 Release Pipeline

- Deploy to dev environment: Automated from feature branch
- Deploy to staging: Integration testing environment
- Manual approval: Gate for production deployment
- Deploy to production: Automated deployment to live

12.3 GitHub Actions for CI/CD

12.3.1 Workflow Configuration

- Trigger on pull requests: Automated testing before merge
- Trigger on main branch push: Deployment automation
- Scheduled workflows: Regular validation runs
- Manual trigger: On-demand deployments

12.3.2 Azure DevOps Integration

- Service connection: Authenticate to Azure subscription
- Deployment groups: Target deployment environments
- Artifact repository: Store build outputs
- Deployment slots: Blue-green deployments

13. Production Deployment & Go-Live

13.1 Pre-Deployment Checklist

13.1.1 Technical Validation

Comprehensive technical verification before production deployment.

- Data validation: Reconciliation between environments
- Performance testing: Meets SLA requirements
- Security validation: Encryption, access controls, compliance
- Disaster recovery: Backup and recovery tested
- Monitoring setup: Alerts and dashboards configured

13.1.2 Documentation Review

- Architecture documentation: Current and accurate
- Runbooks: Operational procedures documented
- Data dictionary: Business glossary complete
- Change log: Version history and updates

13.1.3 Stakeholder Sign-Off

- Data governance: Approval from data stewards
- Business stakeholders: Confirmation of data accuracy
- IT operations: Readiness to support in production
- Security and compliance: Authorization to deploy

13.2 Cutover Strategy

13.2.1 Big Bang Approach

- Advantages: Fast cutover, single truth source immediately
- Disadvantages: High risk if issues discovered
- Requirements: Extensive testing and validation
- Rollback: Complete data reload and revert processes

13.2.2 Phased Cutover

- Wave 1: Limited data or users
- Wave 2: Expand to larger subset
- Wave 3: Full production load
- Advantages: Risk reduction, identified issues addressed

13.2.3 Parallel Run

- Run new pipeline alongside existing system
- Compare outputs for accuracy verification
- Maintain old system until confidence achieved
- Requires additional infrastructure and effort

13.3 Production Handover

13.3.1 Operations Team Training

- Hands-on training on monitoring and alerting

- Troubleshooting procedures for common issues
- Escalation procedures for critical failures
- Knowledge transfer documentation

13.3.2 Support Model

- On-call schedule: 24/7 support for critical issues
- SLA definition: Response and resolution times
- Incident management: Documented procedures
- Change control: Approval process for modifications

13.3.3 Monitoring & Alerting Handoff

- Dashboard access: Provide operations team access
- Alert routing: Configure for operations team
- Dashboard training: Interpretation of metrics
- Contact list: Technical contacts for escalation

14. Post-Implementation & Optimization

14.1 Performance Tuning

14.1.1 Pipeline Performance Analysis

Optimize data engineering pipelines for cost and speed.

- Execution time profiling: Identify slow activities
- Data volume analysis: How much data moved/processed
- Parallelism optimization: Number of cores and workers
- Memory optimization: Reduce memory footprint

14.1.2 Query Performance Optimization

- Index analysis: Create indexes on join and filter columns
- Statistics: Update table statistics for query optimizer
- Execution plan analysis: Identify inefficient operations
- Data distribution: Ensure even distribution for MPP systems

14.1.3 Spark Optimization

- Shuffle optimization: Reduce data movement across partitions
- Broadcast joins: Use for small dimension tables
- Partition pruning: Filter partitions during reads
- Memory tuning: Driver and executor memory configuration

14.2 Cost Optimization

14.2.1 Azure Storage Cost Reduction

Optimize data lake storage costs through smart data management.

- Tiered storage: Move cold data to Archive tier
- Compression: Reduce data volume using Parquet format
- Data lifecycle policies: Automatic tier transitions
- Deduplication: Remove redundant data

14.2.2 Compute Cost Optimization

- ADF integration runtime sizing: Right-size compute resources
- Databricks cluster optimization: Use spot instances for non-critical jobs
- Synapse pause: Pause dedicated pools during non-business hours
- Scheduled scaling: Resize pools based on workload patterns

14.2.3 Data Transfer Cost Reduction

- Keep data in region: Minimize egress bandwidth charges
- Data compression: Reduce network transfer size
- Connection optimization: Use private endpoints where possible
- Batch transfers: Combine small transfers into batches

14.3 Continuous Improvement Process

14.3.1 Monitoring Metrics Review

- Weekly performance reviews: Pipeline execution time trends
- Cost analysis: Identify high-cost operations
- Data quality metrics: Track quality improvement
- User feedback: Collect analytics user requests

14.3.2 Capacity Planning

- Forecast data growth: Project future data volumes
- Scalability assessment: Plan infrastructure expansion
- Workload distribution: Balance analytical and transactional
- Technology evaluation: Assess newer Azure services

14.3.3 Feature Enhancements

- New data source integration: Add new business domains
- Granularity enhancement: Increase data detail level
- Real-time analytics: Add streaming capabilities
- Advanced analytics: Implement ML models

15. Disaster Recovery & Business Continuity

15.1 Backup Strategy

15.1.1 Data Backup

Implement comprehensive backup strategy for data recovery.

- ADLS Gen2 backups: Point-in-time restore capability
- Synapse backups: Automatic daily backups and restore points
- Database backups: Full, differential, and transaction log backups
- Backup frequency: Align with RPO (Recovery Point Objective)

15.1.2 Backup Storage

- Geo-redundant storage (GRS): Copies to secondary region
- Read-access geo-redundancy (RA-GRS): Read-only secondary
- Separate location: Off-site backup vault

- Long-term retention: Annual backups for compliance

15.1.3 Backup Testing

- Regular restore testing: Validate backup integrity
- Point-in-time recovery testing: Restore specific times
- Document recovery procedures: Step-by-step guides
- Recovery timing validation: Measure actual recovery time

15.2 Disaster Recovery Planning

15.2.1 RTO and RPO Objectives

Define recovery objectives based on business criticality.

- RTO (Recovery Time Objective): Maximum acceptable downtime
- RPO (Recovery Point Objective): Maximum acceptable data loss
- Critical systems: Low RTO/RPO (hours/minutes)
- Non-critical systems: Higher RTO/RPO (days)

15.2.2 Disaster Recovery Architecture

- Cold standby: Backup infrastructure on-demand (high RTO)
- Warm standby: Partial infrastructure always running
- Hot standby: Full redundancy with real-time failover
- Geo-redundancy: Failover to secondary region

15.2.3 Failover Procedures

- Automatic failover: Detect failures and switch automatically
- Manual failover: Operator-initiated after approval
- DNS update: Point applications to backup infrastructure
- Validation: Verify backup systems operational

15.3 Business Continuity Plan

15.3.1 Continuity Measures

- Load balancing: Distribute across availability zones
- Redundancy: No single point of failure
- Health checks: Continuous monitoring for failures
- Circuit breakers: Stop cascading failures

15.3.2 Testing and Drills

- Annual DR drill: Full failover and recovery exercise
- Tabletop exercises: Team discusses scenarios
- Document findings: Improve procedures based on results
- Keep plan current: Update for infrastructure changes

16. Operational Excellence & Best Practices

16.1 Naming Conventions & Standards

16.1.1 Storage & Container Naming

- Storage account: {environment}{purpose}{uniqueid} (e.g., proddelakemain01)
- Containers: Lowercase, hyphens for spaces (e.g., bronze-sales-data)
- Folder paths: Layer/domain/source/table/YYYY/MM/DD
- Files: Descriptive names with timestamps (e.g., sales_20240528_1430.parquet)

16.1.2 Data Factory Naming

- Pipelines: {source}_{operation}_{frequency} (e.g., AdventureWorks_BronzeIngest_Daily)
- Datasets: {layer}_{source}_{entity} (e.g., Bronze_AdventureWorks_Sales)
- Linked Services: {service_type}_{environment} (e.g., AzureSqlDatabase_Prod)
- Activities: Clear, descriptive names for each activity

16.1.3 Database Object Naming

- Schemas: Organize by domain (e.g., sales, marketing, finance)
- Tables: Descriptive singular names (e.g., fact_sales, dim_customer)
- Columns: Lowercase with underscores (e.g., customer_id, created_date)
- Procedures: {layer}_{operation} (e.g., silver_clean_sales)

16.2 Documentation & Knowledge Management

16.2.1 Architecture Documentation

- Solution architecture: System diagram with data flows
- Data lineage: Source to destination for all datasets
- Medallion layer mapping: Bronze to Silver to Gold transformations
- Integration patterns: How systems connect and communicate

16.2.2 Operational Runbooks

- Daily operations: Standard operating procedures
- Troubleshooting: Common issues and resolutions
- Escalation paths: Who to contact for different issues
- Emergency procedures: Steps for critical failures

16.2.3 Data Dictionary & Glossary

- Business terms: Standardized terminology
- Data definitions: What each field contains
- Calculation formulas: How metrics are derived
- Data quality rules: Validation and business rules

16.3 Cost Management

16.3.1 Cost Monitoring

Track and optimize cloud spending for data engineering services.

- Cost allocation tags: Tag resources by cost center
- Budget alerts: Configure spending thresholds

- Usage analytics: Analyze consumption patterns
- Reserved instances: Commit to long-term savings

16.3.2 Right-Sizing Resources

- Analyze actual utilization vs. provisioned capacity
- Adjust cluster sizes based on workload demands
- Use auto-scaling where available
- Periodic review: Quarterly cost optimization reviews

16.4 Team Structure & Roles

16.4.1 Data Engineering Team

- Principal Data Engineer: Architecture and strategy
- Senior Data Engineer: Complex transformation design
- Data Engineer: Pipeline development and maintenance
- Data Engineering Support: Infrastructure and operations

16.4.2 Collaboration & Communication

- Daily standup: Brief sync on progress and blockers
- Technical design review: Peer review of architectures
- Incident post-mortems: Learning from failures
- Quarterly planning: Roadmap and capacity planning

17. Azure Data Engineering Service Reference Guide

17.1 Data Ingestion Services

Service	Purpose
Azure Data Factory	Orchestrate and automate ETL/ELT pipelines
Event Hubs	Real-time event streaming and ingestion
Stream Analytics	Real-time stream processing and analytics
IoT Hub	IoT device data ingestion at scale

17.2 Data Storage Services

Service	Purpose
ADLS Gen2	Scalable data lake for Bronze/Silver layers
Synapse Analytics	Integrated analytics with SQL and Spark
Azure SQL Database	Relational database for operational/Gold layer
Cosmos DB	NoSQL database for semi-structured data

17.3 Processing & Analytics Services

Service	Purpose
Databricks	Apache Spark for distributed processing
Synapse Spark Pools	Spark processing within Synapse workspace
Azure Functions	Serverless compute for lightweight operations

Machine Learning	ML model development and deployment
------------------	-------------------------------------

17.4 Governance & Monitoring Services

Service	Purpose
Azure Purview	Data governance, cataloging, and lineage
Azure Monitor	Unified monitoring and alerting
Log Analytics	Log aggregation and KQL querying
Application Insights	Application performance monitoring

End of Document